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Primary Auction Note – December 2021

The Central Bank is looking to raise **KES 40.00Bn** for budgetary support by reopening two bonds, **FXD4/2019/10** and **FXD1/2018/20**.The bonds will attract a coupon rate of **12.28%** and **13.20%** with tenors of 8.0 years and 16.4 years.

Tightened money market liquidity: In the past weeks, liquidity in the money markets has tightened driven by open market operations by CBK. In FY2021/22, the government's appetite for debt remains elevated due to its high expenditure needs with KRA expected to struggle in meeting the revenue collection target.

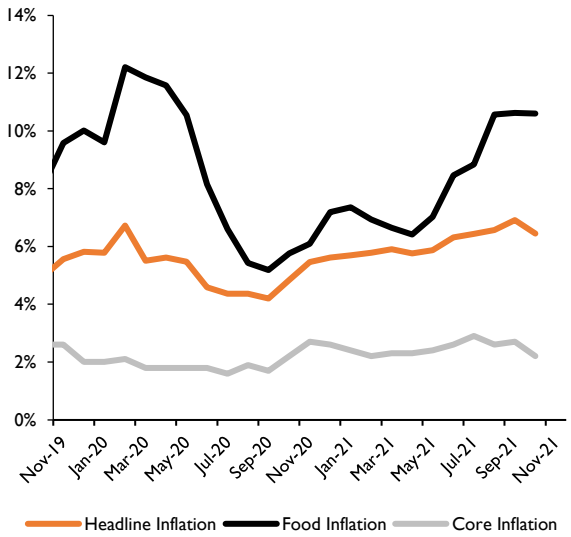
We expect the shorter dated paper, FXD4/2019/10, to attract the highest interest as investors seek to reduce duration. Due to the increased liquidity in the money market, the bonds are likely to be oversubscribed. However, the government is likely to reject expensive bids as it is currently **31.14%** ahead of its prorated borrowing target having a net borrowing position of **KES 342.20Bn** in FY2021/22.

Recent high acceptance levels on bond application coupled with expected low bid volume shows an **aggressive tone** should be adopted in application. We advise investors to bid within the range of 12.35%-12.54% for the **FXD4/2019/10,** and 13.15% -13.39% for the **FXD1/2018/20**

Secondary Bond Market:

During the month, the secondary market activity reduced with the turnover decreasing by **17.95%** to **KES 50.13Bn ($454.49Mn)** from **KES 61.10Bn ($681.27Mn)** witnessed in October

November Inflation:



In November, Headline inflation decreased to **5.8%** from **6.45%** in October. Meanwhile, the CPI increased by **0.45%** from **116.67** in October to **117.20** in November.

Food and beverage index increased by **0.91%** due to the increase in prices of select food items.

We expect an increase in headline inflation on the back of higher food and fuel prices. Fuel prices are expected to edge higher due to the increase in global economic activity which has exerted upward pressure on global oil demand.

December 6th , 2021

RECOMMENDATIONS:

FXD4/2019/10

Bid: 12.35% -12.54%

FXD1/2018/20

Bid: 13.15% -13.39%

Period of Sale: 22/11/2021 to 07/12/2021

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B (stable)

CPI: (2019=100):
117.20

November Inflation: 5.80%

Interbank rate (4th Dec 2021): 5.51%

C.B.R (November 2021): 7.00%

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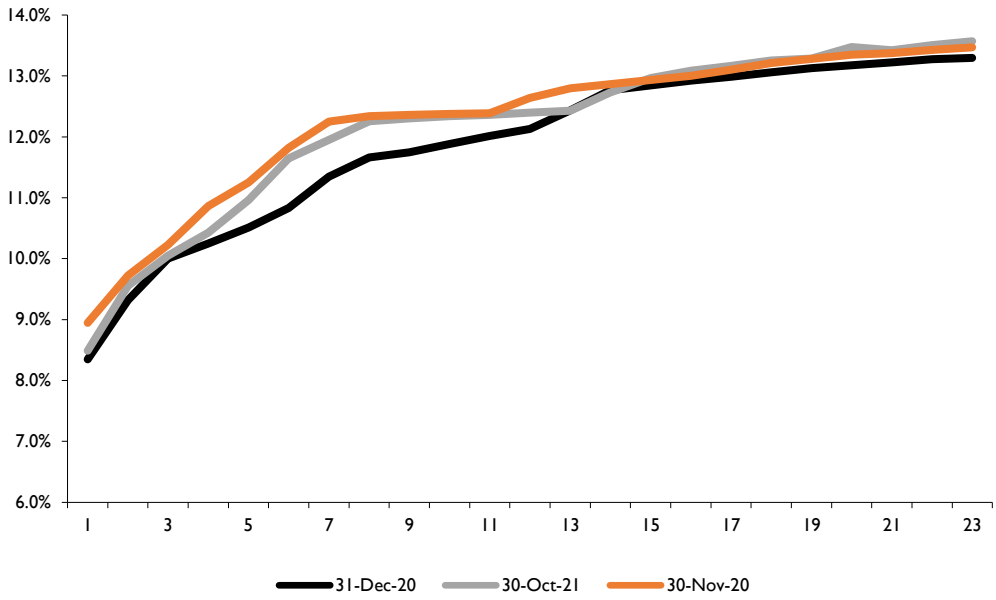
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Interbank

During the month, liquidity in the money markets remained relatively stable supported by government payments and a conservative open market operations by CBK. Consequently, the interbank rate remained unchanged at **4.90%** on 30th November as recorded on 29th October.

In November, the CBK's Monetary Policy Committee (MPC) maintained the Central Bank rate at 7.00% as it sought to support economic growth, and inflation remained below its upper target of 7.5%.

NSE Yield Curve



During the month, short-term rates marginally increased with the mid range holding steady. However, the longer end of the yield curve declined marginally. We expect the yield curve to remain relatively unchanged with an upward bias on the short end of the curve.

Currency:

The Kenya Shilling (KES) continued its loosing streak in November, losing **1.15%** against the greenback. On the 30th November, the KES closed at a value of **KES 112.49/$** versus the **KES 111.21/$** witnessed at the end of October. The shilling is likely to remain under pressure mainly due to dollar demand from the import bill as oil prices remain elevated outweighing supply from key export earners.

CBK's usable foreign exchange reserve increased to **USD 8,773 million** in November from **USD 9,175 million** at the end of October, representing a decrease to **5.36 months** of import cover from **5.61 months** of import cover. The reserves are still sufficient as they remain above the CBK's statutory requirements of four months of import cover.

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